**NETFLIX, INC.**

**CONSOLIDATED STATEMENTS OF OPERATIONS**
**(in thousands, except per share data)**

| | Year ended December 31, | | |
|---|---|---|---|
| | 2015 | 2014 | 2013 |
| Revenues | $ 6,779,511 | $ 5,504,656 | $ 4,374,562 |
| Cost of revenues | 4,591,476 | 3,752,760 | 3,117,203 |
| Marketing | 824,092 | 607,186 | 469,942 |
| Technology and development | 650,788 | 472,321 | 378,769 |
| General and administrative | 407,329 | 269,741 | 180,301 |
| Operating income | 305,826 | 402,648 | 228,347 |
| Other income (expense): | | | |
| Interest expense | (132,716) | (50,219) | (29,142) |
| Interest and other income (expense) | (31,225) | (3,060) | (3,002) |
| Loss on extinguishment of debt | — | — | (25,129) |
| Income before income taxes | 141,885 | 349,369 | 171,074 |
| Provision for income taxes | 19,244 | 82,570 | 58,671 |
| Net income | $ 122,641 | $ 266,799 | $ 112,403 |
| Earnings per share: | | | |
| Basic | $ 0.29 | $ 0.63 | $ 0.28 |
| Diluted | $ 0.28 | $ 0.62 | $ 0.26 |
| Weighted-average common shares outstanding: | | | |
| Basic | 425,889 | 420,544 | 407,385 |
| Diluted | 436,456 | 431,894 | 425,327 |

See accompanying notes to consolidated financial statements.

**NETFLIX, INC.**

**CONSOLIDATED BALANCE SHEETS**
**(in thousands, except share and per share data)**

| | As of December 31, | |
|---|---|---|
| | 2015 | 2014 |
| **Assets** | | |
| Current assets: | | |
| Cash and cash equivalents | $ 1,809,330 | $ 1,113,608 |
| Short-term investments | 501,385 | 494,888 |
| Current content assets, net | 2,905,998 | 2,166,134 |
| Other current assets | 215,127 | 152,423 |
| Total current assets | 5,431,840 | 3,927,053 |
| Non-current content assets, net | 4,312,817 | 2,773,326 |
| Property and equipment, net | 173,412 | 149,875 |
| Other non-current assets | 284,802 | 192,246 |
| Total assets | $ 10,202,871 | $ 7,042,500 |
| **Liabilities and Stockholders' Equity** | | |
| Current liabilities: | | |
| Current content liabilities | $ 2,789,023 | $ 2,117,241 |
| Accounts payable | 253,491 | 201,581 |
| Accrued expenses | 140,389 | 69,746 |
| Deferred revenue | 346,721 | 274,586 |
| Total current liabilities | 3,529,624 | 2,663,154 |
| Non-current content liabilities | 2,026,360 | 1,575,832 |
| Long-term debt | 2,371,362 | 885,849 |
| Other non-current liabilities | 52,099 | 59,957 |
| Total liabilities | 7,979,445 | 5,184,792 |
| Commitments and contingencies (Note 6) | | |
| Stockholders' equity: | | |
| Preferred stock, $0.001 par value; 10,000,000 shares authorized at December 31, 2015 and 2014; no shares issued and outstanding at December 31, 2015 and 2014 | — | — |
| Common stock, $0.001 par value; 4,990,000,000 and 160,000,000 shares authorized at December 31, 2015 and December 31, 2014, respectively; 427,940,440 and 422,910,887 issued and outstanding at December 31, 2015 and December 31, 2014, respectively | 1,324,809 | 1,042,870 |
| Accumulated other comprehensive loss | (43,308) | (4,446) |
| Retained earnings | 941,925 | 819,284 |
| Total stockholders' equity | 2,223,426 | 1,857,708 |
| Total liabilities and stockholders' equity | $ 10,202,871 | $ 7,042,500 |

See accompanying notes to consolidated financial statements.